LAYER 1

Systematic Risk Calibration

Quarterly / on market shift

Who: Leadership, finance, and senior technical staff.
When: Periodically — quarterly, or when market conditions shift materially.
Output: Current risk premium and systematic adjustment factor that sets the environment for all engagement-level scoring.

SYSTEMATIC RISK SCORING

FACTOR	1	2	3	4	5
Platform Stability Licensing, governance, ecosystem health	1 Stable	2	3 Mixed	4	5 Crisis
Talent Market Availability and cost of delivery skills	1 Ample	2	3 Tight	4	5 Acute
Economic Conditions Client budget health across your market	1 Growing	2	3 Flat	4	5 Contracting
Regulatory Exposure Compliance mandates affecting deliverables	1 Calm	2	3 Adapting	4	5 Major
Revenue Concentration Client, channel, or vertical dependency	1 Diverse	2	3 Moderate	4	5 >30%
Rate Pressure Market-wide compression on rate card	1 Rising	2	3 Flat	4	5 Compressing

SYSTEMATIC ADJUSTMENT FACTOR

Composite Score: — / 30 → Adjustment Factor: —

COMPOSITE	ADJUSTMENT FACTOR
—	—
of 30	score all factors

Pure approach: *Use this factor as your portfolio-wide β in the CAPM formula.*
Hybrid approach: *Use this factor to weight each engagement's beta in Layer Two.*

LAYER 2

Engagement Risk Scoring

Per engagement / presales

Who: Solutions team, project managers, senior developers, account managers.
When: During presales or discovery for each engagement.
Output: Engagement risk index (pure) or blended β (hybrid), feeding the CAPM minimum margin.

ENGAGEMENT RISK SCORING

FACTOR	1	2	3	4	5
Client Track Record Relationship history and reliability	1 Long-term	2 Repeat	3 New, vetted	4 Unvetted	5 Red flags
Scope Clarity How well-defined are requirements	1 Detailed	2 Outlined	3 Partial	4 Vague	5 Undefined
Technical Complexity Stack familiarity and unknowns	1 Standard	2 Minor	3 Some new	4 R&D	5 Experimental
Internal Capacity Team bandwidth and availability	1 Dedicated	2 Comfortable	3 Tight	4 Stretched	5 Over
Contract Type Risk allocation in contract structure	1 T&M	2 Capped	3 Hybrid	4 Fixed+pad	5 Fixed tight
Political Complexity Stakeholder alignment and authority	1 Single	2 Small	3 Committee	4 Multi-org	5 Adversarial
Timeline Pressure Deadline flexibility and driver	1 Flexible	2 Reasonable	3 Firm	4 Aggressive	5 Immovable

CAPM CALCULATOR

RISK-FREE RATE (RF)	MARKET RETURN (RM)	L1 ADJ. FACTOR
10 %	22 %	—

Hybrid: E(R) = **Rf** + (**Engagement β** × **L1 Factor**) × (**Rm** − **Rf**) — score all factors to calculate

ENGAGEMENT SCORE	ENGAGEMENT B	BLENDED B	MIN. MARGIN E(R)

of 35	score / 21	× L1 factor	required return

Pure approach: *Use the engagement score (of 35) as a risk index to size per-project contingency. The CAPM minimum margin comes from Layer One alone: E(R) = Rf + L1 Factor × (Rm − Rf).*
Hybrid approach: *Blended β = (Engagement Score / 21) × L1 Factor. This feeds directly into the CAPM formula for a per-engagement minimum margin.*

B-CORP

Impact-Adjusted CAPM

Stakeholder governance overlay

For B-Corp and mission-driven agencies. This card extends Layers 1 and 2 with impact dimensions — stakeholder alignment, externality exposure, and mission risk — then computes an impact-adjusted minimum margin. Scores from the standard cards flow in automatically.

B-CORP SYSTEMATIC RISK (EXTENDS LAYER 1)

FACTOR	1	2	3	4	5
Stakeholder Alignment Client values vs. agency mission	1 Strong	2	3 Mixed	4	5 Misaligned
Impact Measurement Risk Stability of certification standards	1 Stable	2	3 Shifting	4	5 Overhaul
Supply Chain Ethics Vendor and partner standards	1 Verified	2	3 Gaps	4	5 Violations
Greenwashing Exposure Market erosion of sustainability credibility	1 Strong	2	3 Skeptical	4	5 Eroded
Externality Regulation Mandates penalizing digital externalities	1 None	2	3 Emerging	4	5 Major
Mission Drift Pressure Financial pressure vs. stated purpose	1 Aligned	2	3 Strained	4	5 Survival

B-CORP ENGAGEMENT FACTORS (EXTENDS LAYER 2)

FACTOR	1	2	3	4	5
Mission Alignment Does this engagement advance your purpose?	1 Core	2 Aligned	3 Neutral	4 Tension	5 Contradicts
Externality Profile Net social/environmental impact of deliverable	1 Positive	2 Some +	3 Neutral	4 Some −	5 Harmful
Stakeholder Impact	1	2	3	4	5

FACTOR	1	2	3	4	5
Effect on workers, communities, end users	Broad +	Some +	Neutral	Some −	Extractive
Certification Risk Effect on B-Corp standing	1 Strengthens	2 No effect	3 Minor	4 Audit risk	5 Jeopardizes

IMPACT-ADJUSTED CAPM CALCULATOR

STANDARD E(R)	IMPACT ADJ. (±%)	MANUAL OVERRIDE
—	—	±% %

B-Corp: E(R*) = E(R) + Impact Adjustment — score all factors to calculate

B-CORP L1 SCORE	B-CORP L2 SCORE	IMPACT ADJUSTMENT	E(R*) MIN. MARGIN
—	—	—	—
of 30	of 20	% points	impact-adjusted

How the impact adjustment works: *B-Corp engagement scores below the midpoint (mission-aligned, positive externalities) produce a negative adjustment — a "mission discount" that lowers the financial margin threshold. Scores above the midpoint (mission tension, negative externalities) produce a positive adjustment — a "harm premium" that raises the hurdle rate. The B-Corp systematic score shifts the baseline: high portfolio-level impact risk widens both discounts and premiums. Use the manual override to set a conscious, documented impact adjustment for board-level decisions.*